

Polypropylene Compression Fitting Business Plan

Goal: Rapid growth of Polypropylene Compression Fitting sales.

Opportunity & Product Overview: *This initiative is primarily a sales effort.*

Philmac has two “Product Families”. These two Product Families have different opportunities and different promotion requirements.

The Universal Transition Coupling/UTC Product Family has a significant opportunity serving a repair and new installation market where transitions from one type of pipe to another type of pipe are required and often not well or conveniently addressed with current products and methods. Because of the UTC’s versatility and low cost compared to alternatives, it is suited to be a distributor stocking item and lends itself to “push” sales tactics aimed at distributors. The UTC product has application whether or not polyethylene pipe is used. It is a standalone effort not necessarily linked to the 3G product (see next).

The 3G Product Family is a modular system that provides four separate Product Lines serving four different polyethylene pipes including IPS OD controlled, IPS ID controlled (also known as SIDR), CTS (copper tube size), and Kitec/XPA/QLine (a proprietary IPEX tubing). The opportunity for the 3G Product Family is in systems specified with polyethylene pipe or tubing, displacing the use of brass and fusion PE fittings. 3G will require more specification effort than UTC.

Target Markets & Applications:

General: Plumbing, Utility, Irrigation, Water Well, Geothermal, Industrial, others.

UTC: Any use of any pipe or tubing type, ¾” to 2”. Special emphasis on Plumbing Market and applications.

3G: Any use of ¾” to 2” PE Pipe. Potable water service lines, grinder systems, irrigation, golf course irrigation “laterals” etc.

Sales Goals:

2010: \$750k

2011: \$1500k

2012: \$3000k

Sales/Promotion Emphasis: *Lead with UTC – Qualify for 3G*

1. Sales activities lead with UTC, targeting distributors leading to contractors.

The UTC is an attractive distributor stocking item for everyday sales to contractors and with a relatively short sales cycle less dependant on approvals. *UTC can connect anything to anything is the main message.*
2. Concurrently identify, qualify, and develop 3G sales.

The 3G will require more investigation and specification work with consultants and/or authorities. *Key information to gather to define*

opportunities is the use of PE pipe and what type and size (IPS-OD, IPS-ID, CTS, Kitec) and what type and configurations of fittings are used. Developing relationships with pipe and tubing makers who can provide information on where and what PE is used will be valuable.

3. Identify existing Polypropylene Compression Fitting business, and pursue.

Background:

Polyethylene pipe and tubing are experiencing an increase in adoption in many markets and applications for many reasons. The fittings servicing these applications are either fusion style polyethylene fittings made by companies such as Central Plastics, Performance Pipe, JM Eagle or brass fittings made by companies such as Ford and Mueller. Polyethylene fusion fittings are labor intensive; require fusion equipment, and expertise. Brass fittings are relatively expensive and subject to the current trend to reduce and eliminate the use of brass in water systems. Polypropylene compression fittings are relatively simple to install not requiring specialized labor or equipment. Polypropylene compression fittings are relatively inexpensive compared to brass fittings and address the brass replacement demand.

Polypropylene compression fittings are much used in other parts of the world but have not seen significant use in North America. The share of the US fittings market held by polypropylene compression fittings in all the various applications and markets is very small. There are currently four brands present in the US market including Philmac, Cepex, Floplast, and Alprene (Central Plastics/George Fisher). Total sales for all brands in the US market is estimated to be between \$2m and \$4m per year. Probably in the lower end of this range. Lack of adoption of this type of product is attributable to lack of sustained sales promotion to decision makers. There will be the customary reasons for resistance to acceptance.

Of the four brands, Philmac has the best combination of quality, ease of use, fit and finish, types of pipe accommodated, and NSF 61 listing.

Philmac Relationship:

Harco has non exclusive distribution rights in the US market. Ipex/Multi, sister company to Philmac via their parent Aliaxis also distributes Philmac in the US but has declared that it will no longer emphasize a US initiative.

Tasks:

Marketing Communications: *Many of these exist or are in process*

Product Brochures: first round complete, continued upgrades due

Product Line Price Lists: IPS-OD, UTC complete, CTS, SIDR in progress

UTC Counter Sales Kit: in progress

UTC Pitch Book for Reps: in progress

UTC Web Page: in progress

3G Web Page: in progress

Detailed Sales & Product Plans, Process, & Support Information: *Many of these exist or are in process*

Sales Plans for Target Markets
 Sales Brief for UTC
 Sales Briefs for 3G into Plumbing & Utility Markets
 Sales Brief for Golf Irrigation
 Sales Brief for “Other”
 Competitor Brief
 Sales and Usage tracking and feedback system
 Competitor pricing information and analysis
 Submittal Packages
 PE pipe usage map
 UCT Quick Facts Reference
 3G Quick Facts Reference
 UCT Installation Guide
 3G Installation Guide
 UCT Powerpoint
 3G Powerpoint
 Details catalog
 Supporting technical information catalog
 Catalog of product opportunities, short comings, “holes”

Inventory Plan:

Phase 1: Initial stock permitting exploration of market for all products. “Whole” 3G fittings held in IPS-OD. Kits held to change out IPS-OD to CTS, IPS-ID, and Kitec. The expectation is that 3G fittings will have to be supplied in the needed form requiring change out before shipment if something other than IPS-OD is required. *Complete*

Phase 2: Use feedback from initial efforts to extend and focus inventory. Establish necessary inventories at satellite warehouses. *Second order placed to fill and extend and to increase UTC inventory.*

Phase 3: Establish subcomponent inventory and Harco factory assembly for efficiency.

Capital Requirements:

The primary capital requirements are the working capital for inventory. The following are plug figures. Exact amounts will depend on type of product, pace of sales, procurement lead times, increment of procurement (40’CL, 20’CL vs LCL).

2010: \$300k to \$500k

2011: \$600k to \$700k

2012: \$800k to \$1000k